



Rating
Sell

Asia
China

Consumer
Retail / Wholesale Trade

Company
Pop Mart

Reuters
9992.HK

Bloomberg
9992 HK

Exchange
HSI

Ticker
9992

Date
8 July 2026

Company Update

Price at 8 Jul 2026 (HKD)	154.90
Price target - 12mth (HKD)	140.00
52-week range (HKD)	335.40 - 141.80
HANG SENG INDEX	23,497

Valuation & Risks

Sammi Xu
Research Analyst
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Key changes

Sales (FYE)	36,483 to 35,073	↓	-3.9%
Op prof margin (FYE)	41.1 to 42.0	↑	2.3%
Net profit (FYE)	11,286.2 to 11,143.4	↓	-1.3%

Source: Deutsche Bank

2Q26 Preview: From Scarcity to Slowdown

2Q26 preview: Labubu fatigue and overseas weakness signal a sharper slowdown

Pop Mart is likely to see a meaningful slowdown in 2Q26, driven by deceleration in China and weaker overseas performance. **We forecast 2Q26 group revenue to rise only 1.6% YoY, compared with 75-80% YoY growth in 1Q26, with a decline of 16.3% QoQ.** By region, China sales are expected to grow 15% YoY, but the exit rate could turn flattish or negative following the disappointing Labubu 4.0 launch in June and weakening sales momentum. Overseas sales are likely to decline 19% YoY, compared with roughly 40% YoY growth in 1Q26, and fall 20% QoQ.

Our estimates suggest the strong 1Q26 performance, supported by a low base and robust Chinese New Year sales, was not sustained into 2Q26. New product launches and overseas store expansion were insufficient to offset a tougher base and cooling demand. **With the IP cycle already past its peak, we expect further deterioration in 3Q-4Q26, driven by a high base and weakening sales momentum.** Our initial estimates imply group revenue declines of 35% YoY in 3Q26 and 18% YoY in 4Q26. Although we have factored in seasonality that could support better sales during the holiday season, we still model overseas sales declines of 50% YoY and 34% YoY in 3Q26 and 4Q26, respectively. Given the softening exit rate in China, we forecast China sales to decline 22% YoY in 3Q26 and 5% YoY in 4Q26, factoring a potential sales boost from year-end e-commerce shopping festival.

Labubu 4.0: weak launch response points to fading IP momentum

Based on our channel checks on secondary trading, social media feedback, and offline inventory levels, the recent THE MONSTERS Hair Salon launch, or Labubu 4.0, appears to be disappointing (please refer to [our latest note](#)). Despite strong pre-launch expectations supported by FIFA World Cup-related exposure and Lisa's endorsement, the boost on sales was much weaker than expected. One week after launch, some standard editions had fallen to around RMB50, significantly below the RMB159 retail price. The discount level appears more severe than for other IPs, despite Labubu 4.0 carrying relatively high market expectations. Weak secondary-market pricing suggests that both collectors and resellers are losing enthusiasm towards this IP.

Deutsche Bank AG/Hong Kong

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Destocking promotions may result in downside risk

In contrast to the under supply situation in 2H25 when new collections could be sold out immediately, we find evidence of inventory pressure through destocking promotions across multiple markets. Potential inventory pressure could lead to margin contraction, adding another downside risk for Pop Mart.

In China, during the recent 618 shopping festival, Pop Mart's Taobao/Tmall official store offered tiered discounts, including RMB40 off purchases of RMB399, RMB60 off purchases of RMB599, and RMB80 off purchases of RMB799. Its online store also featured Lucky Bags, which bundle multiple products at a discounted price. The inclusion of the Labubu World Cup series in every four bags suggests weaker-than-expected sell-through for a series that had been expected to generate stronger sales.

Similar promotions have also appeared in Asian markets such as Indonesia, Singapore, and Thailand, where Lucky Bags bundling several IPs at sizable discounts are being used to clear inventory. In Europe and the U.S., third-party collectible stores selling Pop Mart products are offering direct discounts, typically around 20%. Official stores have also introduced discounts during major Western shopping festivals, further indicating widespread promotional pressure outside China.

DB forecast: slower 2Q26 and sharper potential decline in 2H26

We forecast 1H26 revenue of RMB18.2bn, up 32% YoY, and adjusted net profit of RMB6.0bn, up 27% YoY. This implies 2Q26 revenue of RMB8.3bn, up only 1.6% YoY but down 16.3% QoQ.

For 2H26, we expect revenue to weaken further to RMB16.8bn, with adjusted net profit of RMB5.4bn. **For FY26, our updated forecast is RMB35.0bn in revenue, down 6% YoY, and RMB11.0bn in adjusted net profit, down 13% YoY. Our estimate is 20% behind Bloomberg consensus of Rmb14.3bn adjusted net profit.**

We maintain our Sell rating on Pop Mart with a HK\$140 target price, as we believe the current share price underappreciates the risks of revenue deceleration and weaker operating leverage.



Key charts

Figure 1: Pop Mart: quarterly revenue forecast

Quarterly revenue forecast					YoY				QoQ			
	1Q26	2Q26E	3Q26E	4Q26E	1Q26	2Q26E	3Q26E	4Q26E	1Q26	2Q26E	3Q26E	4Q26E
China Sales	6,659	5,696	5,442	5,311	100%	15%	-22%	-5%	19%	-14%	-4%	-2%
Overseas	3,286	2,629	2,997	3,066	40%	-19%	-50%	-34%	-30%	-20%	14%	2%
Asia	1,676	1,359	1,374	1,532	25%	-10%	-50%	-36%	-31%	-19%	1%	11%
North America	1,296	1,011	1,218	1,375	58%	-30%	-55%	-25%	-29%	-22%	21%	13%
Europe, Australia, and others	314	259	404	159	61%	-9%	-26%	-63%	-26%	-18%	56%	-61%
Overall	9,945	8,325	8,439	8,377	75%	2%	-35%	-18%	-3%	-16%	1%	-1%
Overall Growth	-5%											



Figure 3: Pop Mart: key assumptions

(Rmb mn)	Assumption						
	2022	2023	2024	2025	2026E	2027E	2028E
Revenue by Region							
Domestic	4,163	5,235	8,886	20,852	23,100	31,727	32,115
Retail store	1,691	2,661	4,601	10,075	11,198	20,382	21,162
Online	1,830	1,525	2,772	8,522	9,708	9,223	8,762
Roboshop	379	553	751	1,346	1,240	1,073	1,038
Wholesale	264	497	763	908	953	1,049	1,154
Overseas	454	1,066	4,151	16,268	11,973	12,165	12,552
Retail store	136	583	2,166	7,179	6,418	6,593	6,968
Online	90	156	1,391	7,912	4,471	4,471	4,471
Roboshop	15	57	81	344	249	266	279
Wholesale and others	213	270	514	834	834	834	834
Total revenue	4,617	6,301	13,038	37,120	35,073	43,892	44,667
Domestic revenue mix	90%	83%	68%	56%	66%	72%	72%
Overseas revenue mix	10%	17%	32%	44%	34%	28%	28%

(Rmb mn)	Assumption						
	2022	2023	2024	2025	2026E	2027E	2028E
Gross margin							
Domestic	58%	61%	64%	71%	71%	71%	70%
Offline	61%	63%	66%	73%	72%	72%	71%
Online	58%	61%	64%	72%	72%	72%	71%
Wholesale and others	36%	47%	48%	48%	48%	47%	47%
Overseas	55%	65%	71%	73%	71%	71%	70%
Offline	73%	74%	72%	73%	72%	72%	71%
Online	75%	74%	74%	75%	72%	72%	71%
Wholesale and others	33%	38%	59%	59%	58%	58%	57%
Total	57%	61%	67%	72%	71%	71%	70%
Net profit (reported)	476	1,082	3,125	12,776	11,143	13,536	13,314
Net margin	10.3%	17.2%	24.0%	34.4%	31.8%	30.8%	29.8%
Net profit (adjusted)	574	1,191	3,403	13,084	11,421	13,858	13,632
Net margin	12.4%	18.9%	26.1%	35.2%	32.6%	31.6%	30.5%

Source : Company announcement, Deutsche Bank estimate

Our recent reports:

[Pop Mart: Early "Labubu 4.0" Feedback Highlights Growing Risk of Demand Fatigue](#)

[China IP Retailer : IP Offline Sales \(May 2026\): Holiday Demand Drives MoM Recovery](#)

[Pop Mart: May-26 Performance: First Negative YoY Growth Since 2024](#)

[Pop Mart: Apr-26 Performance: Stable Sales Driven By Key IP Launches](#)

[Pop Mart: Mar-26 Performance: Intense Product Launches & Home Appliance Focus](#)

[Pop Mart: 1Q26 review: overseas decline continues, overshadowing China strength](#)

[Pop Mart: 2025 solid, 2026 outlook unassured](#)

[Pop Mart: Marketing feedback on Pop Mart](#)

[Pop Mart: After the hype](#)

[Pop Mart: Labubu's availability: a double-edged sword for its fashion trend](#)

8 July 2026

Retail / Wholesale Trade

Pop Mart



Model updated: 08 July 2026

Running the numbers

Asia

China

Retail / Wholesale Trade

Pop Mart

Reuters: 9992.HK

Bloomberg: 9992 HK

Sell

Price (8 Jul 26) HKD 154.9

Target Price HKD 140.0

52 Week range HKD 141.80 - 335.40

Market cap (m) HKDm 205,470
USDm 26,200

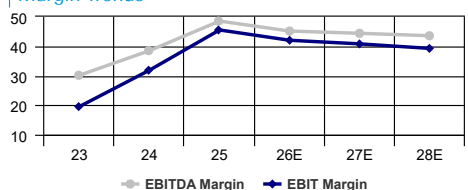
Company Profile

Pop Mart dominates China's pop toy market as its largest and fastest-growing player, with proprietary products accounting for over 90% of its revenue. The company leverages strong IP development and an expansive global retail footprint, with its networks exceeding 700 stores by the end of 2025. The "Monster" (LABUBU) series, its flagship IP, has achieved global recognition, establishing itself as

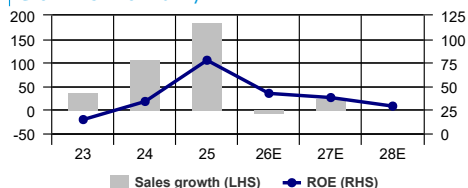
Price Performance



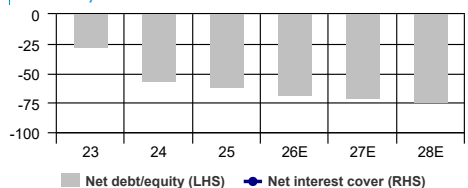
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	0.89	2.55	9.81	8.61	10.58	10.41
Reported EPS (CNY)	0.81	2.35	9.58	8.40	10.33	10.16
DPS (CNY)	0.28	0.81	2.38	2.11	2.56	2.52
BVPS (CNY)	5.8	8.0	16.6	23.1	31.3	38.9
Weighted average shares (m)	1,338	1,327	1,330	1,326	1,310	1,310
Average market cap (CNYm)	25,490	53,856	250,935	178,087	178,087	178,087
Enterprise value (CNYm)	23,414	47,937	237,524	157,823	149,230	140,580

Valuation Metrics

P/E (DB) (x)	21.5	15.9	19.2	15.6	12.7	12.9
P/E (Reported) (x)	23.6	17.3	19.7	16.0	13.0	13.2
P/BV (x)	3.15	10.39	10.43	5.82	4.29	3.45
FCF Yield (%)	6.3	8.2	3.9	6.8	7.9	8.5
Dividend Yield (%)	1.5	2.0	1.3	1.6	1.9	1.9
EV/Sales (x)	3.7	3.7	6.4	4.5	3.4	3.1
EV/EBITDA (x)	12.3	9.6	13.2	10.0	7.7	7.2
EV/EBIT (x)	19.0	11.5	14.1	10.7	8.3	8.0

Income Statement (CNYm)

Sales revenue	6,301	13,038	37,120	35,073	43,892	44,667
Gross profit	3,864	8,708	26,765	24,949	31,083	31,389
EBITDA	1,899	5,017	18,008	15,828	19,477	19,450
Depreciation	669	863	1,118	1,095	1,575	1,918
Amortisation	0	0	0	0	0	0
EBIT	1,231	4,154	16,890	14,733	17,902	17,532
Net interest income/(expense)	0	0	0	0	0	0
Associates/affiliates	33	48	70	70	70	70
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	152	163	76	57	79	153
Profit before tax	1,416	4,366	17,037	14,860	18,051	17,755
Income tax expense	327	1,057	4,025	3,510	4,264	4,194
Minorities	6	183	236	206	250	246
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	1,082	3,125	12,776	11,143	13,536	13,314
DB adjustments (including dilution)	108	278	308	278	322	318
DB Net profit	1,191	3,403	13,084	11,421	13,858	13,632

Cash Flow (CNYm)

Cash flow from operations	1,991	4,954	10,865	13,227	15,327	16,299
Net Capex	-392	-517	-1,172	-1,192	-1,361	-1,385
Free cash flow	1,598	4,438	9,694	12,035	13,967	14,915
Equity raised/(bought back)	-334	-78	0	0	0	0
Dividends paid	-122	-378	-1,083	-3,194	-2,759	-3,352
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	250	50	-944	-1,781	-2,365	-2,667
Net cash flow	1,393	4,031	7,666	7,060	8,843	8,896
Change in working capital	139	246	-3,317	596	-283	541

Balance Sheet (CNYm)

Cash and other liquid assets	2,078	6,109	13,775	20,835	29,678	38,574
Tangible fixed assets	653	739	1,418	1,993	2,418	2,566
Goodwill/intangible assets	116	135	209	291	353	385
Associates/investments	8	11	10	10	10	10
Other assets	7,113	7,875	16,690	18,303	21,746	23,653
Total assets	9,969	14,871	32,101	41,432	54,204	65,188
Interest bearing debt	0	0	0	0	0	0
Other liabilities	2,188	3,986	9,449	10,624	12,369	13,144
Total liabilities	2,188	3,986	9,449	10,624	12,369	13,144
Shareholders' equity	7,770	10,684	22,278	30,227	41,004	50,967
Minorities	10	201	375	581	831	1,078
Total shareholders' equity	7,780	10,885	22,652	30,808	41,835	52,044
Net debt	-2,078	-6,109	-13,775	-20,835	-29,678	-38,574

Key Company Metrics

Sales growth (%)	36.5	106.9	184.7	-5.5	25.1	1.8
DB EPS growth (%)	111.6	187.7	284.1	-12.3	22.9	-1.6
EBITDA Margin (%)	30.1	38.5	48.5	45.1	44.4	43.5
EBIT Margin (%)	19.5	31.9	45.5	42.0	40.8	39.3
Payout ratio (%)	34.7	34.6	24.8	25.1	24.8	24.8
ROE (%)	14.7	33.9	77.5	42.4	38.0	29.0
Capex/sales (%)	6.2	4.0	3.2	3.4	3.1	3.1
Capex/depreciation (x)	0.6	0.6	1.0	1.1	0.9	0.7
Net debt/equity (%)	-26.7	-56.1	-60.8	-67.6	-70.9	-74.1
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

Established in 2010, Pop Mart is a China-based designer toy company globally recognized for popularizing the "blind box" collectibles model. By strategically leveraging proprietary and licensed Intellectual Properties (IPs)—such as "The Monsters" (Labubu)—the company has fostered a passionate international collector base, integrating art and design with a gamified purchasing experience. While the exceptional performance of Labubu was critical to the company's success in 2024–2025, recent weakening trends for the IP suggest potential uncertainty for 2026 sales forecasts. We assign a SELL rating following a decelerating trend observed in 4Q25 and the subsequent 2025 annual results. Although we commend management's strong IP execution in driving international expansion, we believe sales began a downturn in 4Q25 and will continue to decline sequentially. In our view, the market has not yet factored in this sales weakness or the resulting operating deleverage driven by declining same-store sales across both China and overseas markets.

Valuation

We use the discounted cash flow (DCF) method to value Pop Mart. Our DCF assumptions include: 2% risk-free rate, 1.1 beta, a 6% market risk premium and a WACC of 7.9%. We employ the P/E method as a cross check. Our DCF-based target price implies a 14x 2026E P/E.

Risks

Upside Risks: (1) Faster than expected existing IP sales momentum globally. (2) A new blockbuster IP introduced sooner than anticipated. (3) strong progress of Labubu movie & other innovative product types.



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Pop Mart	9992.HK	151.1 (HKD) 07 Jul 2026	8, 14, 15, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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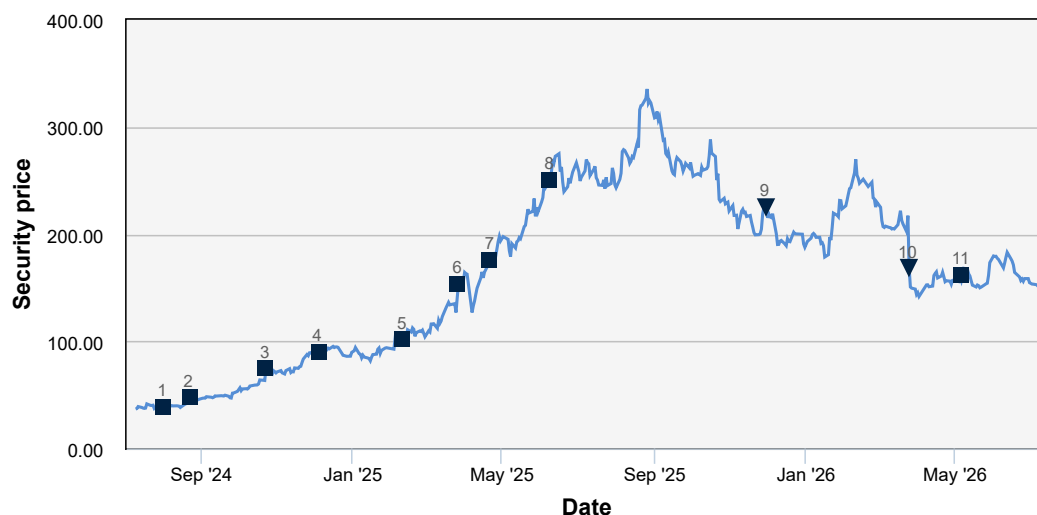
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The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Sammi Xu.



Historical recommendations and target price: Pop Mart (9992.HK)

(as of 07/07/2026)



Current Recommendations

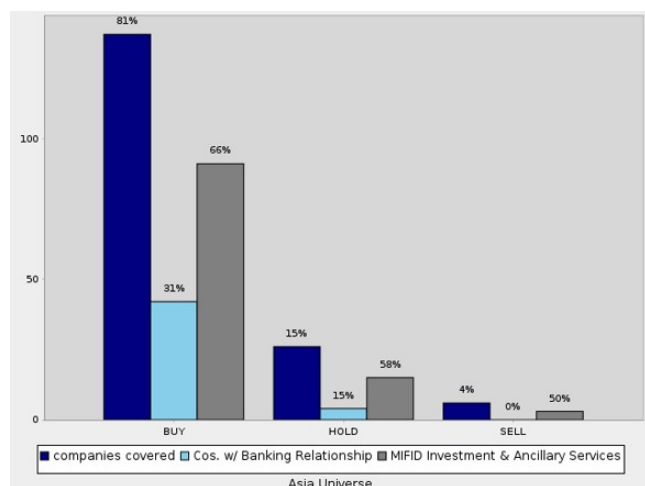
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	08/02/2024	Buy, Target Price Change HKD 48.00, Current Price HKD 39.10 Jessie Xu**	7.	04/22/2025	Buy, Target Price Change HKD 200.00, Current Price HKD 175.90 Jessie Xu**
2.	08/23/2024	Buy, Target Price Change HKD 54.00, Current Price HKD 47.75 Jessie Xu**	8.	06/09/2025	Buy, Target Price Change HKD 303.00, Current Price HKD 250.80 Jessie Xu**
3.	10/23/2024	Buy, Target Price Change HKD 88.00, Current Price HKD 75.20 Jessie Xu**	9.	11/30/2025	Downgraded to Hold, Target Price Change HKD 228.00, Current Price HKD 224.80 Sammi Xu
4.	12/05/2024	Buy, Target Price Change HKD 108.00, Current Price HKD 89.70 Jessie Xu**	10.	03/25/2026	Downgraded to Sell, Target Price Change HKD 157.00, Current Price HKD 168.30 Sammi Xu
5.	02/10/2025	Buy, Target Price Change HKD 114.00, Current Price HKD 102.30 Jessie Xu**	11.	05/07/2026	Sell, Target Price Change HKD 140.00, Current Price HKD 162.20 Sammi Xu
6.	03/27/2025	Buy, Target Price Change HKD 163.00, Current Price HKD 153.70 Jessie Xu**			



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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